

MS 5610 Security Analysis and Portfolio Management

Objective of the course: Valuation of bond and equity securities are applied to select investment opportunities. The concept of risk-return balance is introduced to build portfolios. The economic theories of optimal portfolios and portfolio evaluation are introduced to help the students in their investment career.

Module 1: Introduction to Portfolio Management: Concept of investment and securities available for investment will be introduced. The characteristics of investment with distinction between investment, speculation and gambling will be substantiated by a need for financial markets.

Module 2: Fundamental Analysis: Economic, industry and company analysis are the three types of fundamental analysis. Evaluating investments on the basis of the entity's performance and their expectations is dealt with in this module.

Module 3: Portfolio risk-return balance: The measure of portfolio risk and return and the balance required for investment decisions are discussed in this module.

Module 4: Portfolio theory: CAPM and Arbitrage theory and their application for investment portfolios are discussed along with costs associated thereof.

Module 5: Building portfolios: Equity, debt, balanced and international portfolios are most often built by investment managers. Portfolio evaluation measures such as Sharpe; Treynor and Jensen models are illustrated. Portfolio rebalancing and revision methods to achieve portfolio objectives in changing markets are elaborated.

Reference books

Fisher & Jordan, Portfolio Analysis, Prentice Hall of India, New Delhi

Kevin S., Portfolio Management, Prentice Hall of India, New Delhi

Cowdell Jane, Investment, CIB Publishing, New Delhi

Hirschey Mark, Investment: Theory & Applications, Harcourt, Inc. Orlando, FL.

Reilly F.K., & Norton E.A., Investments, Harcourt, Inc. Orlando, FL.

Sharpe W., G.J.Alexander & J.W.Bailey, Investments, Prentice hall, New York.

Bodi Z., A.Kane and A.Marcus, Investments, McGraw Hill, New York.

Ranganatham M and R.Madhumathi, Security Analysis and Portfolio Management, Pearson.

Tentative Course Schedule

Date	Topic	Assignment (Grade Score)
28, July	Introduction	
31, July	Instrument valuation	
04, August	Class exercise	Security Over/Under Valuation (10)
07, August	Fundamental analysis	
11, August	Class exercise	Investment Opportunities (10) Group
14, August	Portfolio risk / return	
18, August	Class exercise	Portfolio Value at Risk (10)
21, August	Portfolio Theory	
25, August	Class exercise	Portfolio Building (10) Group
28, August	Portfolio Evaluation	
01, September	Class exercise	Market Timing (15)
04, September	Portfolio management	
08, September	Class exercise	Portfolio Risk/Return Balance (15)
11, 15 September	Presentation	Market Timing, Portfolio risk/ return Balance

Grade Pattern

Grade Item	Grade Score
Class exercise	40
Presentation	30
End Quarter Exam	30